Maryland Correctional Enterprises

BUSINESS PLAN FY 2020 - 2022

SEPTEMBER 2019

www.mce.md.gov

Department of Public Safety and Correctional Services

Maryland Correctional Enterprises
7275 WATERLOO ROAD • JESSUP, MARYLAND 20794 • www.mce.md.gov
(410) 540-5400 • FAX (410) 540-5570 • TTY USERS (800) 735-2258

MANAGING FOR RESULTS

MARYLAND CORRECTIONAL ENTERPRISES STRATEGIC BUSINESS PLAN FISCAL YEARS 2020 – 2022

Stephen M. Shiloh, CCE
Chief Executive Officer

September 2019

Robert L. Green
Secretary
Department of Public Safety and
Correctional Services

J. Michael Zeigler
Deputy Secretary – Operations
Department of Public Safety and
Correctional Services

Wayne Hill
Commissioner of Correction
Division of Correction

Department of Public Safety and Correctional Services

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September 2019

Dear MCE Employees and Stakeholders:

On behalf of Maryland Correctional Enterprises (MCE), it is indeed a pleasure to present a copy of the Strategic Business Plan Fiscal Years 2020-2022 for your review. The Plan was developed by MCE employees, facilitated by the DPSCS Police and Correctional Training Commissions, and is based on the goals of: maintaining a self-supporting status, increasing inmate employment, increasing customer satisfaction, improving organizational excellence, and providing support and services for successful inmate transition to the community.

In May 2001, the first MFR Seminar was held at the Maritime Institute of Technology to review the first Business Plan published in September 2000 and to prepare for the next edition. MCE has held to this schedule ever since.

The 2019 MFR Seminar occurred on May 21, 2019. This year's seminar focused on preselected strategies to encourage participation, teambuilding, and promoting interdepartmental communication throughout MCE.

2019 MFR Participants
Facilitators: Jennifer Beskid and Darla Rothman
(DPSCS Police and Correctional Training Commissions)

Charles Behnke	Nicole Copeland	Ashley Lohr
Donna Beck	Christine Cunningham	Ricky Rowe
Cliff Benser	Todd Deak	Stephen Sanders
Ron Brown	Marsha Groover	Steve Shiloh
Engrican Budoy	Mat Hall	Joe Sommerville
Darlene Burns	James Jackson	Jorel St. Germain
Toyia Caise	Dave Jenkins	

Stability has been established in working towards attainment of the long range Goals and Objectives by the accomplishment of the shorter term Strategies. However, success of the plan can only be achieved through cooperation and teamwork. Any questions or comments may be directed to myself, Ashley Lohr (410-540-5405) or Cliff Benser (410-540-5404).

Best Regards,

Steve

Steve Shiloh
Chief Executive Officer

Maryland Correctional Enterprises

Strategic Business Plan FY 2020 - 2022

MISSION STATEMENT

The mission of **Maryland Correctional Enterprises (MCE)** is to provide structured employment and training activities for offenders in order to improve employability upon release, to enhance safety and security, to reduce prison idleness, to produce quality, saleable goods and services, and to be a financially self-supporting State agency.

VISION STATEMENT

Maryland Correctional Enterprises Endeavors to transform lives through mentoring, providing marketable skills, and instilling positive work ethics to contribute to a safer community.

VALUES STATEMENT

The following beliefs (core principles) support our mission and vision statements:

Quality and Customers - We are committed to provide our customers with the highest quality products and services in a timely manner within all areas of Maryland Correctional Enterprises.

Environmentally Friendly – We are committed to improving our environmental awareness in all areas of Maryland Correctional Enterprises.

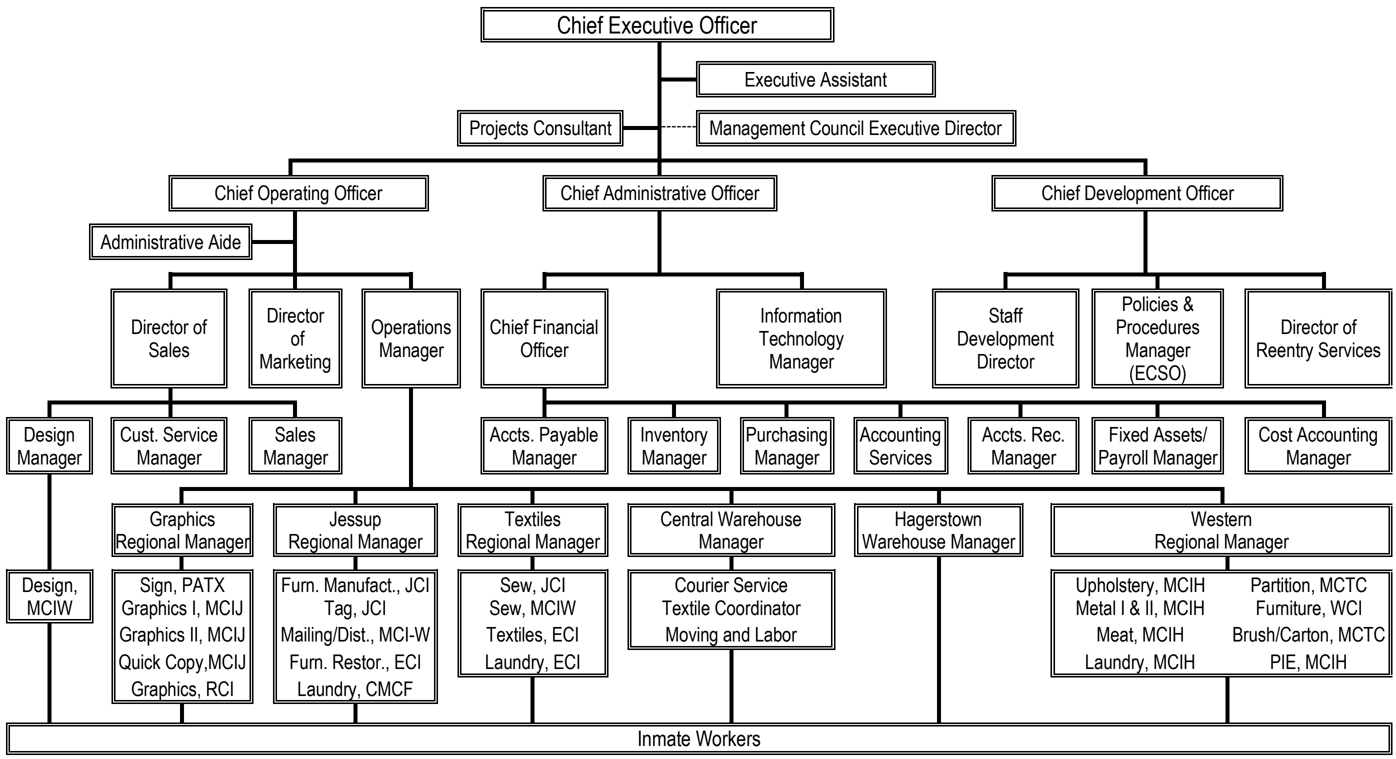
Financially Successful - We will manage our financial resources (assets, profits, sales, cash, investments) to support existing operations and future expansion.

Transition Services - We are committed to quality training and preparation of our inmate work force to enhance their employment opportunities upon release.

Teamwork and Communications - We value each employee as an important asset in helping to achieve the mission of the agency through teamwork and effective communications.

Professionalism - We value effective leadership and strive for impartiality and fairness in the workplace. We encourage personal and professional development. We recognize and reward dedication and commitment to excellence.

MCE STRATEGIC BUSINESS PLAN FISCAL YEARS 2020-2022



MANAGEMENT

Maryland Correctional Enterprises
7275 Waterloo Road
Jessup, Maryland 20794
(410) 540-5400

Title	**Name**	**Phone**
Chief Executive Officer	Steve Shiloh	(410) 540-5401
Executive Assistant to the CEO	Vacant	
Acting Chief Operating Officer	Stephen Sanders	(410) 540-5479
Chief Administrative Officer	Mark Rowley	(410) 540-5412
Chief Development Officer	Ashley Lohr	(410) 540-5405
Director of Marketing	Nicole Copeland	410) 540-5406
Exec. Director of Mgmt. Council	David Jenkins	(410) 540-5472
Director of Sales	Todd Deak	(410) 540-5409
Sales Manager	Jim Hook	(410) 540-5407
Chief Financial Officer	Verona Williams	(410) 540-5403
Operations Manager	Vacant	(410) 540-5479
Projects Consultant	Cliff Benser	(410) 540-5404
Customer Service Manager	Shari Hoffman	(410) 540-5452
Design Manager	Terry Hill	(410) 540-5441
IT Manager	Engrican Budoy	(443) 936-8357
Re-Entry Services Director	Vacant	

REGIONAL MANAGERS

Region	**Name**	**Phone**
Western/ Acting Operations Manager	Ron Brown	(240) 420-1255
Jessup/ECI Furniture Restoration	Mat Hall	(410) 540-6381
Textiles/ECI Liaison	Donna Beck	(410) 651-9102
Graphics	Jim Cluster	(410) 540-6727
Central Warehouse	Derek Hadley	(410) 540-5476
Hagerstown Warehouse	Ricky Rowe	(240) 420-1232

Maryland Correctional Enterprises/Q00A 03.01
Fiscal Years 2020 – 2022
Goals, Objectives, Strategies

Goal #: 1.1	**To maintain self-supporting status to support existing operations and future expansion.**
Objective #: 1.1.1	**To achieve a 3% net operating income level every fiscal year through June 2020.**
Strategy #: 1.1.1.1	**Analyze revenues and expenditures, including agency wide control of costs, on a monthly basis and take corrective action when necessary to ensure the objective.**
Performance Measures	Net operating income level achieved in each fiscal year.
Chairperson	**Chief Executive Officer**
Members	Chief Operating Officer, Chief Administrative Officer, Chief Financial Officer, Regional Managers, Senior Accountant, Operations Manager, Inventory Manager, Invited Guest Member

Summary of Strategy Results

	FY2013	FY2014	FY2015	FY2016	FY2017	FY2018	FY2019
Net Operating Income	**(1.2%)**	**2.2%**	**2.3%**	**5.3%**	**6.9%**	**6.9%**	**2.93%**
Adjusted Net Operating Income (after transfers)	**(2.2%)**	**(1.3%)**	**0.0%**	**5.3%**	**2.7%**	**6.9%**	**2.93%**

Adjustments:

FY2012 ($325,000) transfer to State's General Fund for the Budget Reduction and Financing Act of 2011.

FY2013 ($500,000) transfer to State's General Fund in FY2013.

FY2014 ($1,800,000) transfer to State's General Fund in FY2014.

FY2015 ($1,000,000) transfer to State's General Fund in FY2015.

FY2017 ($2,500,000) transfer to State's General Fund in FY2017.

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Fiscal Year 2020				

The Chief Executive Officer conducts Gross Profit meetings with the Committee Members each month except for July, August, and September when financial data is not available due to the annual financial audit of MCE.

Strategy #: 1.1.1.2	**Evaluate the purchasing practices of our customers to determine trends and analyze data.**
Performance Measures	Annual review of top 10 customer's data to be compared to data from three prior FYs (2017, 2018, 2019).
Chairperson	**Director of Sales**
Members	Sales Manager, IT Manager

<u>Summary of Strategy Results</u>

- Customer Analysis: FY19 just closed. Will analyze the purchasing of the top 10 customers over a three year span and distribute the information in the 1st quarter of FY20.

- Monitoring Monthly Quick Ship Sales

- Monitoring County K-12 Sales

- Monitoring Monthly Graphics Sales
  - Utilizing report to pursue customers that have purchased from us in the past or ones that are not utilizing our graphic capabilities.
    - Met with MVA to discuss expanding MCE's graphics offerings with them.

- Monitoring Weekly Open Order Reports For:
  - University of MD – University College
  - University of MD – College Park
  - Towson University
  - MD Aviation Administration
  - Salisbury University
  - MD Transportation Authority
  - University of MD – Eastern Shore
  - MD State Department of Education
  - Department of Commerce
  - Morgan State University
    - Account reps continually review/analyze on a monthly basis

- Continually Evaluating Waiver Requests/Bid opportunities.
  - Pursuing opportunities for interior signage (Brail), with MVA
  - Pursuing rolled stickers with Department of Agriculture.

- UMCP EProcurement platform:
  - Still working to link our offerings to their new platform.
  - UMBC will also be developing a similar procurement platform that we will be involved with.
  - UMCP / UMBC is working with a new EProcurement platform:

FY17/18/19 COUNTY K-12 SALES

County K-12 Sales	FY 17	FY 18	FY 19	% Comp.
Allegany County	$0.00	$0.00	$0.00	0%
Anne Arundel County	$40,156.95	$42,545.00	$58,770.00	38%
Baltimore City	$6,111.29	$2,669.83	$7,672.50	187%
Baltimore County	$6,340.00	$10,054.00	$13,473.50	34%
Calvert County	$0.00	$734.40	$0.00	-100%
Carroll County	$2,346.95	$2,397.80	$3,132.12	31%
Caroline County	$0.00	$0.00	$0.00	0%
Cecil County	$0.00	$0.00	$0.00	0%
Charles County	$0.00	$0.00	$0.00	0%
Dorchester County	$12,579.56	$15,532.15	$14,655.30	-6%
Frederick County	$2,064.00	$516.00	$0.00	-100%
Garrett County	$0.00	$0.00	$0.00	0%
Harford County	$4,887.00	$2,157.00	$2,525.00	-17%
Howard County	$48,673.00	$69,198.00	$44,528.00	-36%
Kent County	$0.00	$0.00	$0.00	0%
Montgomery County	$25,570.69	$2,877.67	$773.50	-73%
Prince Georges County	$0.00	$0.00	$18,101.00	100%
Queen Anne's County	$0.00	$0.00	$0.00	0%
Somerset County	$0.00	$0.00	$0.00	0%
St. Mary's County	$0.00	$0.00	$0.00	0%
Talbot County	$0.00	$0.00	$525.00	100%
Washington County	$2,048.50	$719.10	$362.30	-50%
Wicomico County	$0.00	$0.00	$0.00	0%
Worchester County	$854.65	$0.00	$594.00	100%
Sub Total:	**$151,632.59**	**$149,400.95**	**$165,112.22**	**11%**
MD State Dept. of Education HQS	$147,488.22	$402,165.22	$348,213.55	-13%
MSDE-Library for the Blind & Physically Handicapped	$14,970.00	$881.48	$129.90	-85%
MSDE-Division of Rehab Services (Timonium)	$7,525.80	$5,298.00	$133.00	-97%
MSDE-Division of Rehab Services (Baltimore)	$284,089.96	$309,176.28	$160,033.94	-48%
MD School for the Deaf (Frederick)	$22,766.00	$23,929.92	$19,967.47	-17%
MD School for the Deaf (Columbia)	$7,619.57	$9,975.36	$9,358.40	-6%
Grand Total:	**$636,092.14**	**$900,827.21**	**$702,948.48**	**-22%**

Note: % comparison is based on FY 18/19 numbers

Strategy #: 1.1.1.3	**Identify, share and implement quality improvements and cost reduction/avoidance programs each year.**
Performance Measures	Implement, share and document cost reduction/avoidance and report quality assurance programs per fiscal year.
Chairperson	**Operations Manager**
Members	Chief Operating Officer, Director of Sales, Regional Managers, IT Manager, Plant Managers

Summary of Strategy Results

1. Plant #109 Textiles: Plant Manager Tom Seltzer and his team evaluated one of their six head embroidery machines with one bad head after a service technician reported that the machine was not repairable. Tom and his team replaced a bearing and thread tension parts along with additional components and now the machine runs all six heads without an issue. The result was a fully functional six head embroidery machine and a cost savings of approximately $15,000 (the cost of a new machine).

   Tom and his team have enhanced their digitizing programs on all of the embroidery machines to increase the machine speed from 600 to 800 revolutions per minute. Productivity has increased as well as product quality.

2. The Wood Plant has reduced the lead time for their most time consuming product line, the Annapolis II, by producing common component parts in advance of receiving an order. The Plant uses repetitive manufacturing techniques and Quality Control criteria checks to build a world class quality product in less time than previously thought possible in order to satisfy our customers.

3. Plant #119, Tag, is integrating digital license plate printing into it's product line for logo license plates. This equipment will allow MCE to enter the world of On Demand logo license plate production. The new Solo Printers and manual embossing press requires no oven or hot stamp equipment. The production capability for one Solo printer is anywhere from twenty five to sixty finished logo plates per hour or one to three minutes per print depending on image size and coverage. MCE will incorporate two Solo Printers into our logo license plate production. Inmate workers are already trained to operate this new equipment using a computer interface. This process is a cost effective alternative for embossing license plates and will enhance the quality of the MCE logo plate.

Strategy #: 1.1.1.4	Update standard costs and selling prices on an annual basis.
Performance Measures	Annually review and audit business unit standard costs and selling prices for profitability.
Chairperson	**Chief Financial Officer**
Members	Cost Accountant, Director of Sales, Chief Operating Officer, Director of Marketing, Senior Accountant, Purchasing Manager.

Summary of Strategy Results

1. During the 3rd quarter of FY19, the Finance department completed standard costs analyses as follows:

   Plant 122 Nightingale Conference Chairs

   Cost analysis for a series of Nightingale chairs, a total of 37 items in varying specifications, was completed.

   The results indicate that projected manufacturing cost will exceed the current selling prices in amounts ranging from 2% to 11% over current selling process. Results were forwarded to the Marketing Department for further studies.

2. During the 4th quarter of FY19, the Finance department completed standard cost analysis as follows:

   Plant 124 Metal

   Series of Ultralite II Tables and Folding Chairs

Ultralite II Table 30”x60”
Ultralite II Table 30”x72”
Ultralite II Table 30”x96”
Ultralite II Round Table 48” RD
Ultralite II Round Table 60” RD
Ultralite II Folding Table 71” RD
Ultralite II Folding Chair

The results indicate that the projected manufacturing cost exceeds the current standard costs in amounts ranging from 19% to 25%. Correspondingly, the projected selling prices exceed the current prices in amounts ranging from 35% to 43%.

Results were forwarded to the Marketing department for further studies.

Strategy #: 1.1.1.5	**Network with other state correctional industries to identify best practices and additional venture opportunities.**
Performance Measures	Compile an annual FY report identifying relevant best practices & additional venture opportunities.
Chairperson	**Chief Development Officer**
Members	Operations Manager, Chief Operating Officer, Chief Administrative Officer, Regional Managers, Director of Marketing, Plant Managers, Director of Sales, Guest (other state rep).

Summary of Strategy Results

1. NCIA staff will be utilizing segments of MCE's Annual Report and Strategic Business Plan for the development of Financial Sustainability and Marketing E-learning Courses.

2. Marsha Groover, Mark Rowley, Chuck Behnke, Darlene Burns amd Ashley Lohr attended the National Correctional Industries Association Training Conference. PowerPoint presentations from the breakout sessions were posted on the X Drive. New opportunities and best practices identified at the conference will be investigated.

3. Steve Shiloh, Joe Sommerville, Stephen Sanders, Nicole Copeland and Ashley Lohr participate in a conference call with North Carolina Correction Enterprises to discuss their implementation of an inmate staffed sales and marketing call center. Additional research is being conducted to determine the feasibility of the program with MCE.

4. MCE sent a formal request to DLLR to request assistance in investigating pre-apprenticeship and apprenticeship programs.

5. An annual summary of best practice research and recommendations will be submitted to the CEO by the end of August. Topics will include:

    - Certificate Based Programming
    - Lean Manufacturing
    - Commissary Operations
    - Inmate Staffed Sales and Marketing Call Center
    - CDL Program

Objective #: 1.2.1	**Continue to achieve annual sales of at least $50,000,000.**
Strategy #: 1.2.1.1	**Biennially* (beginning January 2020) review and update the Marketing and Sales Plan. *Biennial means every other year.**
Performance Measures	Sales achieved in each fiscal year.
Chairpersons	**Director of Sales and Director of Marketing**
Members	Chief Executive Officer, Chief Operating Officer, Sales Manager, Operations Manager

Summary of Strategy Results

Sales

FY2013	FY2014	FY2015	FY2016	FY2017	FY2018	FY2019
$50,819,576	**$51,799,493**	**$54,049,268**	**$61,442,491**	**$58,951,233**	**$55,003,182**	**$52,457,137**
(4.2%)	**1.9%**	**4.3%**	**13.7%**	**(4.3%)**	**(6.7%)**	**(4.6%)**

Cumulative Totals	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Fiscal Year 2020				

1. The Director of Sales and Director of Marketing have scheduled monthly meetings where they will discuss sales and marketing activities. During these meetings, the Sales and Marketing Plan will be developed.

2. Explore Introducing Tablet Program - Tablets were purchased in FY19 (4th qtr) to be released in FY20 (1st qtr).

3. Marketing and Sales Plan (2020-2021): Meetings set in FY20 1st quarter to develop the new plan to begin in 2020

4. Will be looking into software to track activity to measurable sales

Additional Performance Measures developed by the Director of Marketing:

- Conduct one institution tour a quarter to a new group of customers
- Send out monthly sales emails to our customers contact list
- Do eight presentations annually to new customers/stakeholders
- Director of Sales and Director of Marketing attends one new networking event per quarter to create new business opportunities
- Exhibit at 10-12 conventions per year
- Host a bi-annual Clearance event at the Brockbridge Road Warehouse and Showroom (Spring 2020 and Fall 2020)
- Advertise in the NCIA directory

Summary of Strategy Results

- We attended 7 conventions this year so far (MAESP, MLA, ASBO, MAA, MSFA and DGS Earth Day)
- We sent out two email blasts, which were specifically focused on our clearance items.
  - Email Blast 1: 768 recipients, 176 email opens (23%), and 37 clicks (4.8%).
  - Email Blast 2: 759 recipients, 189 email opens (23%) and 45 clicks (5%).

Objective #: 1.3.1	**Improve MCE's visibility among our customer base and other stakeholders.**	
Strategy #: 1.3.1.1	**Identify and educate customers and stakeholders.**	
Performance Measures	At least (12) presentations annually to new customers/stakeholders.	
Chairpersons	**Director of Sales and Director of Marketing**	
Members	Operations Manager, Regional Managers, Sales Manager, Chief Development Officer, Director of Reentry Services, Design Representative/Guest	

Summary of Strategy Results

1. FY2019 Conventions:

• MD Association of Counties (MACo)	August 15-18, 2018	Ocean City, MD
• Mid-Atlantic Purchasing Team Forum/Show	September 25, 2018	Columbia, MD
• DNR-MD Park Field Service Day	September 26, 2018	Patapsco State Park, MD
• Maryland Association of Boards of Education (MABE)	October 3-5, 2018	Ocean City, MD
• Association of School Business Officials (ASBO)	November 2, 2018	Maritime Institute, MD
• MCE Annapolis Showcase	January 24, 2019	Annapolis, MD
• Maryland Association of Elementary School Principals (MAESP)	March 7-9, 2019	Cambridge, MD
• DGS Earth Day	April 22, 2019	Baltimore, MD
• MD Library Association (MLA)	May 1-3, 2019	Cambridge, MD
• Association of School Business Officials (ASBO)	May 19-22, 2019	Ocean City, MD
• MD Correctional Administrators Association (MCAA)	June 2-3, 2019	Ocean City, MD
• Maryland Firefighter's Association	June 15-21, 2019	Ocean City, MD
• Maryland Municipal League (MML)	June 23-26, 2019	Ocean City, MD

2. Tours held in the 4th qtr:
   - May 22nd: City of Laurel toured the new MCE Showroom.

3. Presentations performed in 2nd Quarter:
   - Dept. of Health Buyer's Meeting: Nov. 16th
   - Community College Facilities Planner's Meeting: Dec. 7th

   Presentations performed in the 3rd Quarter
   - March 28th : City of Laurel

4. Letter was sent to the new Harford County Board of Education Superintendent introducing MCE and our restoration services.

5. Letter was sent to the Dept. of Agriculture regarding rolled sticker offerings

6. We continue to educate our customers and expand our customer base by attending conventions throughout the year and by updating our website with content that will engage current and new customers.

Goal #: 2.1	**To maximize inmate employment by providing occupational skills and training.**
Objective #: 2.1.1	**Continue to employ inmates while maintaining a safe staff to inmate ratio.**
Strategy #: 2.1.1.1	**Investigate inmate employment opportunities based on industry standards as recommended by National Institute of Corrections and National Correctional Industries Association (NCIA).**
Performance Measures	Maintain an appropriate number of civilian staff members in order to ensure a safe, secure, & efficient workplace.
Chairperson	**Chief Executive Officer**
Members	Chief Operating Officer, Chief Development Officer, Operations Manager, Regional Managers, Plant Managers

Summary of Strategy Results

Inmate Employment

FY2013	FY2014	FY2015	FY2016	FY2017	FY2018	FY2019
2,038	2,091[1]	2,041	2,035	2,042	1,719[2]	1,516[3]

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Fiscal Year 2020				

NOTES:

1. MCE was forced to close its Upholstery Plant at NBCI in October 2013 due to the continuing Lock-down situation at that Institution. This action resulted in the loss of 25 inmate positions.
2. MCE has a current vacancy rate of 25%. Recruiting difficulties negatively affected FY18 inmate employment.
3. MCE Field Staff directed to NOT EXCEED 1:20 staff to inmate ratio. MCE has a current vacancy rate of 25.8%. Recruiting difficulties continue to negatively affect FY2019 inmate employment.

Strategy #: 2.1.1.2	**Develop private industry partnerships.**
Performance Measures	Pursue new PIE partnerships each fiscal year.
Chairperson	**Chief Development Officer**
Members	Executive Director of Management Council, Chief Operating Officer, Projects Consultant, Administrator I, Appropriate Plant Manager(s), Operations Manager

Summary of Strategy Results

1. MCE entered into a PIE Partnership with Total Electric Inc. on July 25, 2018. Eight inmates are employed at Metal I. Through September 30, 2018 this program has provided 588 inmate work/ training hours. All reports through September have been positive.

2. MCE's partnership with Total Electric continues and is doing well. The first profit/loss meeting showed that the operation is profitable. Total Electric has expressed interest in increasing the workload for the spring.

3. MCE requested an additional $20,000 to be allocated to the Total Electric PIE Program so that inmates could work twenty four hours per week for the remainder of the fiscal year. At the end of March, the PIE program accounted for 2,494.25 inmate working hours.

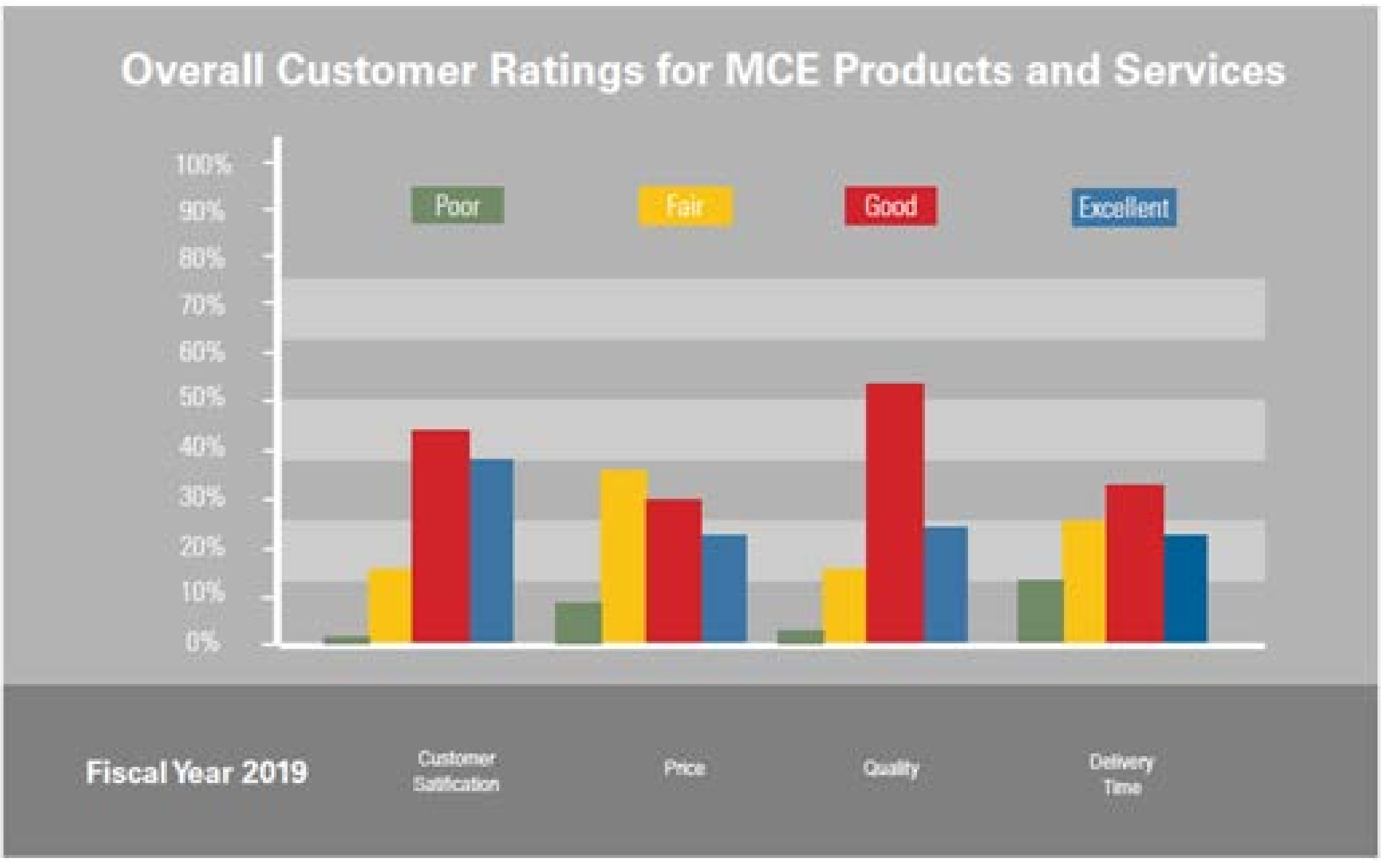
4. PIE participants worked a total of 3,622.75 hours and MCE achieved revenues of $57,964 from the program. The program appears to remain profitable.

5. A meeting is scheduled for July 18th to discuss a potential PIE partnership with Tom James/English American, a textiles manufacturer in Westminster, MD.

Goal #: 3.1	**To increase customer satisfaction.**
Objective #: 3.1.1	**Determine customer satisfaction factors and take appropriate steps to address these issues.**
Strategy #: 3.1.1.1	**Annual customer survey to identify areas of customer needs.**
Performance Measures	Survey results and analysis annually.
Chairperson	**Director of Marketing**
Members	Customer Service Manager, IT Manager, Regional Managers, Sales Manager, Director of Sales, Operations Manager, Warehouse Managers

<u>Summary of Strategy Results</u>

The following graph represents findings from the Fiscal Year 2019 Customer Satisfaction Survey. Data was collected from 91 participants (Survey was closed 6/30/19).



The majority of respondents rated MCE GOOD or EXCELLENT in
Customer Satisfaction, Prices, Quality and Delivery Time.

Objective #: 3.1.2	**Continue to improve MCE's delivery time.**
Strategy #: 3.1.2.1	**Weekly evaluation of overdue orders.**
Performance Measures	Actual delivery times and monthly value of overdue orders.
Chairperson	**Chief Operating Officer**
Members	Operations Manager, Regional Managers, Warehouse Managers, Director of Sales, Administrator I, Administrative Assistant to COO

Summary of Strategy Results

1. On June 28, 2019, overdue orders were at 1.15%. A slight increase of .11% for the quarter. With the end of the FY, staff shortages in Customer Service, production and warehousing, we were disappointed to see an increase. We continue to monitor the progress weekly and anticipate this goal continuing to trend in the wrong direction until we hire additional staff.

Average Delivery Time (Days)

FY2012	FY2013	FY2014	FY2015	FY2016	FY2017	FY2018	FY 2019
23.5	**26.2**	**31.3**	**25.4**	**22.3**	**22.9**	**24.4**	**27.4**

The following divisions are tracked quarterly and annually:

	Fiscal Year 2020 (Days)			
	1st Qtr	**2nd Qtr**	**3rd Qtr**	**4th Qtr**
Graphics				
Textiles				
Furniture				
Miscellaneous				
Total				

AVERAGE DELIVERY TIMES

Graphics – 2 Weeks	Textiles – 6 Weeks	Furniture – 7 Weeks	Miscellaneous – 2 ½ Weeks

Strategy #: 3.1.2.2	**Evaluate the MCE Quick Ship product line.**
Performance Measures	Annually review the MCE Quick Ship product line based on customer requests and needs.
Chairperson	**Operations Manager**
Members	Director of Sales, Director of Marketing, Warehouse Managers, Plant Managers, Regional Managers, Cost Accountant

Summary of Strategy Results

1. Based on the customer demand, we have decided to expand our Quick Ship offerings in the next MCE catalog. Three products produced by Plant #119, Tag, will be included. Galvanized Metal Picnic Tables with pressure treated lumber, Fire Ring Grills and Single Grills. We will begin the program with a par level of fifteen units and a maximum order quantity of five units per order for each of the products listed. After the launch, we will evaluate the par levels and adjust accordingly.

2. The MCE Quick Ship program has once again performed beyond expectations. June Quick Ship sales totaled $234,235.21, which helped MCE attain a new Quick Ship sales record for the fiscal year. The total Quick Ship sales for FY19 was $1,541,456.04. This figure surpassed last year's Quick Ship sales record of $1,371,257.98 by $170,207.06. Quality products, fast delivery times and overall customer satisfaction, have contributed to the success of this growing program. Congratulations to the entire MCE Team for making this accomplishment a reality.

Objective #: 3.1.3	**Use of technology to enhance customer service and satisfaction.**
Strategy #: 3.1.3.1	**Improve MCE's infrastructure to align all processes which provide enhanced internal and external customer service.**
Performance Measures	Implement IT infrastructure by June 2020.
Chairperson	**Chief Administrative Officer and IT Manager**
Members	Director of Sales, Customer Service Manager, Director of Marketing, Warehouse Managers, Chief Financial Officer, Chief Operating Officer, Operations Manager, Regional Managers, MCE Staff

Summary of Strategy Results

1. On March 28, 2019, DoIT Network Maryland and Skyline Technology Solutions have completed the fiber network analysis of MCE's shops and plants. The analysis includes a proposal on the needed hardware to enable the current fiber infrastructure that is in place and areas where fiber is lacking, which needs to be implemented in order to connect all of MCE under one intranet. This singular intra net can be managed by MCE, supporting the needs of MCE business.

2. We are continuing on with the objective efforts to improve MCE's information technology infrastructure. In the 4th Quarter we completed the following to meet the objective.

   - The last day for prospects to submit their Request for Resumes (RFR) bid to be awarded the Agile Project Manager role to implement the ERP was April 12th, 2019. Worked with Procurement to filter out the bids that met the basic qualifications for PMI agile certification and ERP implementation experience.

   - On May 2nd, met with Skyline Technology Solutions to further design out and update the project plan for the MCE intranet to include in the infrastructure the ability to take on future additional data storage, firewall and security camera capability.

   - On May 9th thru May 15th, older DPSCS workstations and current DPSCS workstations were replaced or upgraded with the latest Windows 10 release and Microsoft Office 2016 productivity software for MCE HQ and Central Warehouse Jessup.

   - On May 14th, the onboarding work plan for the ERP project manager was completed. The work plan consist of a list of urgent items that we need to focus the new PM on once he/she is on boarded in their new role. While this list is not exhaustive it provides the framework for focusing on near-term milestones--critical for moving the project forward.

   - On June 12th, procurement has officially confirmed 7 ERP Agile PM candidates who have been selected to be interviewed and have met all the general qualifications with all supporting documentation for Project Management Institute (PMI) certification and work history.

   - On June 13th, procurement has scheduled July 22nd and the 23rd as the dates that the Agile PM interviews will be conducted. The Agile PM interviews will be held at DPSCS headquarters in Towson.

Strategy #: 3.1.3.2	**Develop key performance indicators to be incorporated into metrics to measure customer satisfaction.**
Performance Measures	Develop key performance indicators by June 2020.
Chairperson	**Chief Administrative Officer and IT Manager**
Members	Director of Sales, Customer Service Manager, Director of Marketing, Warehouse Managers, Chief Financial Operator, Chief Operating Officer, Operations Managers, Regional Managers, MCE Staff

Summary of Strategy Results

1. New strategy developed at the annual MFR seminar on 5/21/19.

Goal #: 4.1	**To improve organizational excellence.**
Objective #: 4.1.1	**By June 2019, establish and implement additional initiatives to improve teamwork and morale.**
Strategy #: 4.1.1.1	**Identify opportunities to improve staff development.**
Performance Measures	Develop and implement a staff development and/or field training program.
Chairpersons	**Chief Development Officer**
Members	MCE Training Committee

Summary of Strategy Results

1. The Policies and Procedures Manager is working with Anne Arundel Community College to develop Microsoft Training for all MCE staff.

2. The orientation manual was updated. Managers will now receive general onboarding topics and a management Plan when a new employee is hired. All new staff will attend a one hour, MCE orientation. All non-mandated staff are required to attend a 40 hour pre-service at PCTC.

3. The Training Committee issued a request for new members on March 7, 2019.

4. Eight MCE staff members will attend an OSHA Certified Forklift T4T program on April 23rd.

5. Research will be conducted regarding Lean Manufacturing Certification for some Operations Managers.

6. Two employees participated in the job shadow program; both reported positive reviews. Full implementation of this program will remain on hold until sufficient staffing is reached.

7. The training committee continues to search for new members for training requests and input.

8. MCE is awaiting a response from NIC to conduct a Thinking for A Change Facilitator Training.

Objective #: 4.1.2	**Continue and enhance opportunities to improve communications between headquarters and field staff.**
Strategy #: 4.1.2.1	**Identify opportunities to improve communication between headquarters and field staff.**
Performance Measures	Explore opportunities to improve communications between headquarters and field staff.
Chairperson	**Director of Marketing**
Members	Chief Operating Officer, Operations Manager, Regional Managers, Plant Managers

Summary of Strategy Results

1. On December 6, 2018, Nicole Copeland became MCE's Director of Marketing. More to come in the next Quarterly Report.

2. We will continue to use the newsletter (print and email) and the town halls to improve communication between headquarters and field staff.

3. 4th Quarter FY2019:

   - We are continuing to send out the quarterly newsletter as a hard copy and via email.
   - New employee announcements and promotions are sent out via email utilizing the new email marketing tool, GovDelivery.
   - We've hosted three Town Hall meetings so far and will continue to host those on a quarterly basis.

Objective #: 4.1.3	**Maintain ACA accreditation.**
Strategy #: 4.1.3.1	**Maintain ACA performance compliance annually.**
Performance Measures	Maintain ACA accreditation.
Chairperson	**Policy and Procedures Manager**
Members	Chief Executive Officer, Chief Operating Officer, Regional Managers, Chief Administrative Officer, Operations Manager, Administrator I, Chief Development Officer

<u>Summary of Strategy Results</u>

1. The ACA Winter Conference took place in January and was attended by Ashley Lohr and Christine Cunningham. During this meeting, the hearing was held to review the Fall 2018 audit results and the status of accreditation.
    - The panel was impressed with the result of the audit and MCE's score of 100% on both the mandatory and non-mandatory standards.
    - Following the review of the audit and the results, the panel agreed with the auditors and granted MCE the re-accreditation. The next audit will take place in 2021.

2. In preparation for the next audit, as well as increasing the safety of employees and inmates, random internal audits/searches have been conducted by Joe Sommerville and Stephen Sanders. As a result of these audits, additional training was conducted, for the Regional Managers, and adjustments were made at the shops.
    - Training focused primarily on safety related policies and why they are in place.
    - Training of the Plant supervisors was conducted by the Regional Managers in the presence of Joe Sommerville and Stephen Sanders.
    - Additional steps included the removal of drawers in any desks utilized by inmates in shops as well as file cabinets.

3. Additional preparation for the next ACA audit includes the collection of documents from each region on a quarterly basis. Documents collected include tool and chemical logs, random search logs and fire drill documentation. The types of documents collected will vary from quarter to quarter with the exception of the random search and fire drill information.

4. The training packets for 2019 were distributed to Regional Managers for each of the MCE Plants. All internal (HQ) packets were distributed to managers.
    - The 2019 packet includes readings that focus on complacency and situational blindness as it relates to working in corrections.
    - Additional topics covered include email etiquette and phone etiquette.

5. Christine Cunningham is currently seeking out training in collaboration with Anne Arundel Community College for use of Office programs such as Word and Excel, at a reduced cost to MCE.

6. During the 4th Quarter, surprise inspections have taken place at multiple plants that focus on safety and ACA standards. These inspections have resulted in changes to not only increase the safety of staff and inmates, but also create uniformity in observance of the standards. Changes include:
    - Removal of clerk desks that have drawers;
    - Removal of unnecessary file cabinets and locking remaining file cabinets;
    - Removal of clutter in and around desks and on top of cabinets; and
    - Limitation and increased visibility of inmate belongings brought in to the shops daily.

7. Safety inspection checklist will be revised to include ACA Standards.

8. Christine Cunningham will begin taking over the safety inspections at the plants.

Objective #: 4.1.4	**Establish and implement an employee recognition program by June 2019.**
Strategy #: 4.1.4.1	**Develop a committee to research and identify an employee recognition program.**
Performance Measures	Establish and implement an employee recognition program by June 2019.
Chairperson	**Account Representative**
Members	Departmental Volunteers

Summary of Strategy Results

1. The Employee Recognition Committee met on Friday April 13, 2019 and came up with an agenda for an Employee of the Month and Year. Ashley Lohr and Jim Jackson are meeting with Mr. Shiloh on Friday April 26, 2019 to discuss the agenda. The committee will then reconvene in early May to discuss the meeting with Mr. Shiloh.

2. Ashley Lohr and Jim Jackson picked the gifts to be given to employees and will also set up a meeting to discuss rolling out the plan with the committee in mid-August.

Objective #: 4.1.5	**Streamline paperwork by updating policy and procedures across all units.**
Strategy #: 4.1.5.1	**Evaluate documents that are currently being used for effectiveness.**
Performance Measures	Create uniformity in paperwork, policy and procedures.
Chairpersons	**Chief Development Officer**
Members	Plant Managers, Regional Managers, Departmental Managers, Chief Operating Officer, Chief Administrative Officer, Operations Manager, Policy and Procedure Manager, IT Manager

Summary of Strategy Results

1. Random Plant Audits are being conducted to ensure compliance with security and fiscal regulations. Any policy violations are reported and corrective action plans are being submitted to the COO and Operations Manager. A checklist that correlates to policy requirements is in development. Finalized SOPs will be distributed in the fourth quarter.

2. An updated Hazmat Communication Plan was distributed on February 28th. According to the new policy, secondary containers are to be labeled with the proper product identifier and pictogram in accordance with GHS regulations.

3. The Policies and Procedures Manager continues to revise outdated policies. All SUI policies developed prior to 2005 will be revised or rescinded by the end of the fiscal year.

4. The majority of outdated policies have been updated and reissued to comply with current practices. All SUI policies have been reviewed for accuracy. In addition, all policies specify which forms should be in use by staff. Training and audits regarding these policies and procedures will be conducted in the upcoming months.

Strategy #: 4.1.5.2	**Develop a plan to digitize records by June 2020.**
Performance Measures	**Create uniformity in paperwork, policy and procedures,**
Chairperson	**Chief Development Officer**
Members	Plant Managers, Regional Managers, Department Managers, Chief Operating Officer, Chief Administrative Officer, Operations Manager, Policy and Procedure Manager, IT Manager

Summary of Strategy Results

1. New strategy developed at the annual MFR seminar on 5/21/19.

Goal #: 5.1	**To provide support and services for successful inmate transition to the community.**
Objective #: 5.1.1	**Monitor, evaluate, and enhance MCE CARES.**
Strategy #: 5.1.1.1	**Partner with State, county and local organizations to increase the effectiveness of the CARES program for eligible participants.**
Performance Measures	Monitor the outcomes established by MCE CARES (Enrollment, Completion, Employment, Recidivism)
Chairperson	**Director of Reentry Services**
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council

Summary of Strategy Results

1. MCE has reached out to former and new resources for different opportunities and services such as education, housing, treatment and employment. Some resources also help families of incarcerated individuals; including spouses, and/or dependents under the age of 18. New partners to the CARES Program include Conflict Resolution and Mediation Centers across the State of Maryland and Goodwill of the Chesapeake.

2. The redevelopment of the CARES Program has been implemented and includes resources for families of those incarcerated.

3. The CARES program has been in session since May 28, 2019. Participants receive ongoing one on one mentoring sessions. Graduation will be scheduled for the first week of December.

4. MCE is continuously expanding partnerships for our second chance population with the State of Maryland, various non-profit agencies, and community partners.

Strategy #: 5.1.1.2	**Identify two additional locations/ populations by FY2020.**
Performance Measures	Monitor the outcomes established by MCE CARES (enrollment, completion, employment, recidivism)
Chairperson	**Director of Reentry Services**
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council

Summary of Strategy Results

1. New strategy developed at the annual MFR seminar on 5/21/19.

Objective #: 5.1.2	**Monitor, evaluate, and enhance transition services for all MCE inmate workers.**
Strategy #: 5.1.2.1	**Identify businesses, community partners and economic resources to enhance inmate employment upon release.**
Performance Measures	Identify five additional business partners and assess the economic needs of the reentering inmate population.
Chairperson	**Director of Reentry Services**
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council

<u>Summary of Strategy Results</u>

1. In April 2019, MCE CARES implemented partnerships with Mission Possible Ministries, Marian House and Alternative Directions.

2. In May 2019, CARES began educational outreach to local community colleges to request information on career resources and job fairs.

3. A request was submitted to DLLR regarding research on pre-apprenticeship and apprenticeship programs, upholstery, welding and Microsoft Certification. MCE will continue to partner with local DLLR offices regarding reentry navigators and the Job Skills Training Program.

4. The resource page is up and running on MCE's website.

Objective #: 5.1.3	**Increase modern, technical training opportunities for inmates.**
Strategy #: 5.1.3.1	**Identify opportunities to modernize manufacturing equipment and software.**
Performance Measures	Review equipment and software requests on a bi-annual basis
Chairpersons	**Chief Operating Officer**
Members	Chief Executive Officer, Chief Development Officer, IT Manager, Regional Managers, Relevant Plant Managers, Property Manager, IT Staff

<u>Summary of Strategy Results</u>

1. Our textiles Team is evaluating new technology in the area of automatic textiles cutting. This new equipment will enable the Textiles Team to improve quality and provide consistent performance while teaching our inmate workforce a new valuable skill.

2. We negotiated a new contract for all of our quick copy production machines with the most up to date technology. Additionally we updated all of our graphics software and installed a new panel saw in the Wood Plant, #115.

3. The new machines were installed in Quick Copy in late March.

4. Plant #115, Furniture, replaced their 1984 Solem Sander. The sanding drum heads were no longer repairable. In it's place we now have a state of the art Time Saver three belt sander from KP Walsh. This piece of equipment is more efficient and can accommodate wider stock so we can sand more material in less time. The computerized functions adjust for thickness and speed rates from 15 to 45 feet per minute. Inmate workers are being trained to operate this new equipment thus enhancing our training program.

5. No new equipment during this quarter. We are researching new edge-banders. No additional items to report.

6. Plant #142, Textiles, is upgrading the pants pressers I the plant with new, modern and more efficient equipment designed to give off less heat. This will make for a more operator friendly environment, especially in the warm weather months.

Objective #: 5.1.4	**Develop post incarceration follow-up with CARES Alumni.**
Strategy #: 5.1.4.1	**To be discussed at the FY2020 MFR Seminar**
Performance Measures	Convene a committee to discuss the development of a post incarceration follow-up for MCE CARES
Chairpersons	**Director of Reentry Services**
Members	TBD

Summary of Strategy Results

2. New strategy developed at the annual MFR seminar on 5/21/19.

MCE

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